

Compound interest pays my bills. It’s my tool. It’s my passive income source. *Yet, compound interest is not responsible for my wealth.* This is critical. Fastlaners aren’t using compound interest to build wealth, because it’s not in their wealth equation. The heavy lifting of wealth creation is left to their Fastlane business.

When a rich politician or public figure comes forth and discloses his finances, notice the common themes. The source of their wealth comes from their business interests, while their liquid cash reserves are tied into fixed-income securities like municipal bonds, treasuries, and other highly liquid and safe investments. The rich aren’t using the markets to create wealth; *they’re increasing their existing wealth with leveraged business assets.* Remember, that 25-year-old multimillionaire who got rich investing in mutual funds is a fairy tale. The millionaires are the guys running the funds! They’re the producers!

HOW TO REALLY USE COMPOUND INTEREST

Would you rather have \$5 million right now, or a penny doubled every day for forty days? No-brainer, right? You’d take the \$5 million bucks. But that would be a serious mistake. Accept \$5 million now and you forsake nearly \$5,500,000,000. That’s \$5.5 BILLION dollars. Examine the chart below that demonstrates the force of doubling.

One Penny Doubled			
Days	Amount	Days	Amount
1	.01	21	10,485.76
2	.02	22	20,971.52
3	.04	23	41,943.04
4	.08	24	83,886.08
5	.16	25	167,772.16
6	.32	26	335,544.32
7	.64	27	671,088.64
8	1.28	28	1,342,177.28
9	2.56	29	2,684,354.56
10	5.12	30	5,368,709.12
11	10.24	31	10,737,418.24
12	20.48	32	21,474,836.48
13	40.96	33	42,949,672.96
14	81.92	34	85,899,345.92
15	163.84	35	171,798,691.84
16	327.68	36	343,597,383.68
17	655.36	37	687,194,767.36
18	1,310.72	38	13,74,389,534.72
19	2,621.44	39	2,748,779,069.44
20	5,242.88	40	5,497,558,138.88